Briefs Pro

INCOME

August 2026 Report

Natural gas is the same fuel everywhere on Earth. The price is not.

A war knocked out one of the world's biggest gas exporters, and the country sitting on the most spare gas - the U.S. - physically can't ship enough of it out to fill the hole.

Here's what that looks like in the price:

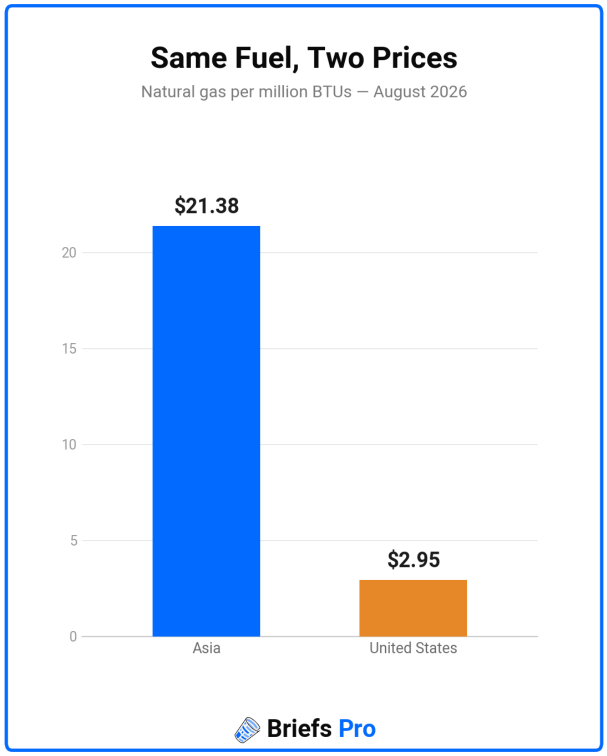
In Asia right now, natural gas trades at $21.38.

In the United States, the exact same fuel goes for $2.95 - both prices measured in the same unit, a million BTUs (the standard measure gas trades in).

- The Asian buyer is paying more than seven times what the American one pays.

Normally, a gap like that wouldn't survive a month. Traders would rush to close it - loading up on cheap American gas, freezing it into a liquid so ships can carry it (that's LNG, liquefied natural gas), and selling it overseas at a fat markup.

So why is the gap still standing? Because America's gas export terminals have been stuck at 94% of what regulators allow since March.



Data via Briefs Research

There's simply no more room on the docks, and meaningful new export capacity doesn't show up until late 2027.

How we got here: In late February, strikes on Iran kicked off a war that shut the Strait of Hormuz within two days.

That choked off about a third of the world's oil supply, along with all of the gas leaving Qatar - one of the largest LNG exporters on the planet.

Tanker traffic tells the story. Crude shipments out of the Persian Gulf have collapsed 95%, while LNG shipments are down 99%.

The Gulf Has Gone Quiet

Tanker traffic since the strait closed in February

-95%

crude shipments out of the Persian Gulf

versus pre-war levels

-99%

LNG shipments out of the Gulf

all of Qatar's gas exports run through these waters

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Data via Briefs Research

Iran hit back at Ras Laffan, the largest LNG export site on Earth, taking about 17% of Qatar's export capacity offline. QatarEnergy's own CEO says the fix is a three-to-five-year project - one costing the country about $20 billion a year in lost sales.

Now, notice how differently the two fuels handled the shock.

Oil found workarounds - tankers took longer routes, emergency reserves opened up, and other producers filled the gaps. That's why crude spiked to $118 and then found its way back near $88.

Gas has no workaround, because you can't sail around a wrecked export plant. You have to rebuild it, and rebuilding takes years.

Here's the strange twist in all of this: American natural gas prices actually fell after the war began.

The world is desperate for gas, but with U.S. terminals maxed out, that desperate demand physically can't reach American supply.

And that flips the story for investors. The money isn't in owning the gas - it's in owning the equipment the gas has to travel through.

This is where we've spotted a Broad Market Shift:

The war can't lift the price of American energy, but it's pushing record traffic through American pipelines and export docks - and the companies collecting fees on that traffic get paid under every version of the ending.

One warning before the picks. Our team ran 22 energy investments known for big payouts - pipeline companies, shippers, and more - through our income engine.

Almost every name paying above 7% failed one simple question: does the business make enough cash to keep paying that much?

Those giant payouts aren't free money. They're danger pay - the market pays extra because the war could hurt those companies badly if it turns the wrong way.

Only two names passed both tests: they earn enough cash to cover their payouts, and the war can't easily hurt them. Both are heading into our Income Portfolio below.

Our analysts took the full position at once, instead of spreading the buy out over weeks - what's known as dollar-cost averaging.

Neither has a big earnings report this month that could shake up the story, so there was no reason to wait.

One housekeeping note first: both are MLPs, short for master limited partnerships - companies that pass their profits straight through to investors.

That means a K-1 tax form each spring in place of the standard 1099, and MLPs are usually an awkward fit inside IRAs.

- K-1s take more work to file and tend to show up later in the spring.

Talk to your CPA before buying this kind of investment.

ANALYST TAKE

Tickers we're tracking:

The toll collector: MPLX
The export lane: EPD

THE TOLL COLLECTOR

MPLX (MPLX) | The Airport, Not the Airline

MPLX is the highest scorer of all 22 income names we screened.

What's happening? MPLX owns pipelines, storage terminals, and gathering systems - the smaller lines that collect gas near the wells - moving natural gas and refined fuels, much of it for its parent company, Marathon Petroleum.

Our income engine gives it an A-, with a payout yielding close to 7% at today's price of $59.94.

- Yield is the cash a stock pays you each year, measured against its price.

Can MPLX actually afford that payout? In the second quarter, it produced $1.45 billion in distributable cash flow (the money a partnership can hand to its investors) against a payout of $1.0765 per unit.

Data via Briefs Terminal

That works out to 1.3x coverage. The payout is fully funded, with about 30 cents of extra cushion behind every dollar promised.

Management has also pledged to raise that payout 12.5% every year through 2027, which puts the yearly rate at $4.31 per unit today.

How it fits the shift: MPLX earns fees on the amount of fuel moving through its system, not on what that fuel sells for.

Think of it as the airport, not the airline - it gets paid when traffic shows up, no matter what the tickets cost.

And traffic is enormous right now. Refiners are living through the most profitable stretch in their history, with their rough profit for turning crude oil into gasoline and diesel setting an all-time record in July near $70 a barrel.

Those refiners run flat-out on MPLX's pipes and terminals, so MPLX earns a fee on every one of those record barrels - without carrying the risk that refining profits shrink.

And if peace broke out next week and refiner profits fell back to Earth? The fuel would still have to move, and MPLX would still get paid to move it.

The catch: MPLX leans hard on one customer - Marathon, its parent - and its payout sits near the zone where our engine demands an extra-thick cash cushion.

Today that cushion is clearly there. If it starts to thin, you'll see it flagged in a future report.

Entry range: $54 to $61 per unit - today's price sits inside that zone.

Exit Trigger: If cash coverage slides toward 1.0x, or management backs off the 12.5% raise plan, the income case weakens - and investors may want to consider stepping back.

THE EXPORT LANE

Enterprise Products Partners (EPD) | America's Export Lane

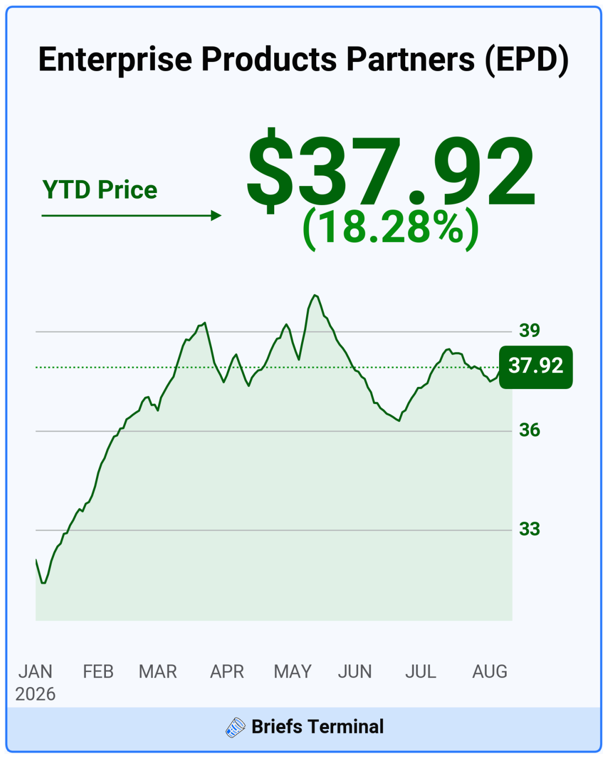
Enterprise is the export lane of this pair.

What's happening? Enterprise runs one of the country's largest networks tying U.S. oil and gas - plus natural gas liquids - to export docks along the Gulf Coast.

If American energy is leaving the country, there's a good chance it touches an Enterprise asset on the way out.

Its second quarter set records across the board:

- Profit to unitholders (a partnership's version of shareholders) rose 28% to $1.84 billion.
- Distributable cash flow climbed 21%, setting a record at $2.31 billion.
- Its payout was covered 1.9 times over.
- Volume at its marine export docks ran 33% higher than a year ago.



Data via Briefs Terminal

Management pointed to one driver behind those busy docks: booming demand from overseas buyers for American energy.

This is what the war looks like from Enterprise's side of the business - extra traffic on its docks, not a gamble on prices.

About 80% of Enterprise's operating margin comes from fixed fees, and the company has raised its payout for 27 straight years.

That streak survived the 2008 financial crisis, the 2015 oil bust, and the 2020 pandemic crash - so this war has some very tough acts to follow.

Its yield sits near 5.8% at a price of $37.92, and it earns a B+ from our Briefs Score, just a hair below MPLX.

Enterprise: A Record Quarter

Q2 2026 — records across the board

	Q2 2026	YoY Change
Net Profit	$1.84B	up 28%
Cash Flow (DCF)	$2.31B	up 21%
Payout Coverage	1.9x	fully funded
Marine Exports	+33%	up 33%

Briefs Pro

Data via Enterprise Company Filings

One thing to weigh: Enterprise is midway through about $6 billion in growth projects, so more of its cash is already spoken for than the headline coverage number suggests.

Our score is strict - and even graded strictly, Enterprise clears the bar.

Entry range: $34 to $40 per unit - today's price also sits inside the zone.

Exit Trigger: If export volumes start falling, or the 27-year raise streak stalls while project spending keeps climbing, that could be a sign for investors to reconsider this opportunity.

RISKS WE'RE WATCHING

How This Shift Could Change

Start with the tax wrinkle. Both names issue K-1 forms, complicate IRAs, and belong to a group - MLPs - whose tax treatment comes up in Washington from time to time, so a change to those rules would sting the whole sector at once.

There's also a price for safety. Investors can all see that fee-collecting pipelines are the calm spot in this storm, and some of that calm is already baked into today's prices.

If the war ends quickly and cleanly, the riskier war-driven names we passed on would likely lead this pair for a stretch - a cost we're willing to pay.

New export capacity is a two-sided coin as well. Full terminals are the moat protecting this trade today, but the buildout landing in late 2027 will start changing that math - one reason our team watches these names quarter by quarter.

And this pair dodges one storm: the Iran war. A U.S. recession or a rate shock is a different kind of problem entirely.

THE BOTTOM LINE

The Takeaway

The world wants American gas badly enough to pay seven times the U.S. price for it - and it physically can't get more, because the export system is already full.

Full pipes and full docks are exactly how a fee-collecting business likes life. Whether the strait opens back up this fall or stays shut into 2027, a barrel crossing Texas pays the same toll - and MPLX and Enterprise are the ones collecting it.

The flashy 9% yields in this sector are charging investors for war risk. These two, at roughly 7% and 5.8%, passed the cash test those bigger payouts failed.

For income investors who'd rather get paid on traffic than gamble on prices, MPLX and EPD may be potential opportunities worth keeping an eye on.

- Briefs Finance Team